

TSMC (2330 TT)

Buy: Increasing capex pressure to drive long-term growth

- ◆ Modest 2Q26 beat expected as 2H26 margin pressure unchanged; further price hike likely not until 1Q27
- ◆ Revised 2027 capex of USD80.2bn may still not be enough to address foundry tightness
- ◆ Maintain Buy; raise TP to TWD3,350 (from TWD2,800)

Slight 2Q26 beat likely, but margin pressure in 2H26 expected to remain: TSMC is due to announce its 2Q26 financial results on 16 July. We expect its 2Q26 GM to reach 68%, slightly higher than the guidance range of 65.5-67.5%, and better than the consensus expectation of 67.0%. For 3Q26e, we expect revenue to grow by 12% q-o-q (vs consensus +9% q-o-q) as we continue to expect AI to be the major driver. However, we believe the headwinds for GM that management listed are likely to remain in 2H26, including overseas facilities and 2nm ramp. As a result, we forecast 3Q26e GM to drop to 67% (vs consensus 65.9%). In terms of pricing, we retain our expectation that the next price hike will not come until the beginning of 2027.

Ongoing expansion to solve the advanced nodes tightness: We see increasing pressure for TSMC to continue expanding capacity for advanced nodes in the coming years, through both new facilities and resource reallocation from mature nodes, as we highlighted in [Secondary Foundry](#), 23 June 2026. Hence, we now expect 78%/41% y-o-y capacity increases in 2nm/3nm in 2027 from TSMC. With the help of capacity increases and price hikes, we now expect 2027 revenue to see 36% y-o-y growth (vs FY26e y-o-y growth of 38.6% and management guidance of 30%) and TSMC's 2024-28 revenue CAGR to be 34% in USD (vs TSMC's guidance of 2024-29 CAGR of 25%).

Revised FY27e capex of USD80bn may still not be enough: We expect 2026 capex to be at the high end of the guidance range, at USD56.5bn, but do not rule out a potential rise to USD60bn. Although TSMC is unlikely to give FY27 capex guidance until 4Q26 earnings in January 2027, we still raise our 2027 capex estimate to USD80.2bn from USD70.6bn, which may still not be enough to support ongoing foundry capacity tightness. Our sensitivity analysis on a FY27 capex range of USD85bn-100bn suggests revenue upside of 4-19% in 2029 on top of the 25% CAGR target TSMC has set.

Retain Buy rating with revised TP of TWD3,350 (from TWD2,800): We raise our 2026/27 EPS estimates by 5%/14% to reflect capacity expansion and the strong utilisation rate. Our 2026e/27e EPS are 2%/6% higher than consensus. We raise our TP to TWD3,350 from TWD2,800 based on a lower PE multiple of 25x (from 27x) applied to 2027 EPS of TWD135.81 (from 2H26-1H27 EPS). We believe the lower PE is reasonable, as we expect more competition from Intel in the near to mid-term given the current supply tightness, regardless of Intel's yield performance.(vs TSMC enjoying peak PE when dominant in advanced nodes and advanced packaging). With c39% implied upside, we retain our Buy rating.

Equities Semiconductors & Equipment

Taiwan



MAINTAIN BUY

TARGET PRICE (TWD)

3350.00

PREVIOUS TARGET (TWD)

2800.00

SHARE PRICE (TWD)

2415.00

(as of 09 Jul 2026)

UPSIDE/DOWNSIDE

+38.7%

MARKET DATA

Market cap (TWDm)	62,626,673	Free float	86%
Market cap (USDm)	1,954,092	BBG	2330 TT
3m ADTV (USDm)	3,003	RIC	2330.TW

FINANCIALS AND RATIOS (TWD)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	66.27	101.34	135.81	169.99
HSBC EPS (prev)	66.27	96.80	119.66	147.32
Change (%)	0.0	4.7	13.5	15.4
Consensus EPS	64.61	99.69	128.38	158.94
PE (x)	36.4	23.8	17.8	14.2
Dividend yield (%)	0.7	0.8	0.8	1.4
EV/EBITDA (x)	23.0	15.0	11.0	8.2
ROE (%)	35.4	40.6	39.0	35.3

52-WEEK PRICE (TWD)



Source: Refinitiv IBES, HSBC estimates

Frank Lee*

Global Head of Tech Hardware & Semi Research
The Hongkong and Shanghai Banking Corporation Limited
frank.lee@hsbc.com.hk
+852 2996 6916

Ted Lin*

Analyst, Taiwan Technology
HSBC Securities (Taiwan) Corporation Limited
ted.ht.lin@hsbc.com.tw
+886 2 6631 2870

Pulkit Aggarwal*

Associate
Bangalore

* Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/ qualified pursuant to FINRA regulations

No country for bears | The 24th edition of the EM Sentiment Survey [Click to view](#)

Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Issuer of report: The Hongkong and Shanghai Banking Corporation Limited

View HSBC Global Investment Research at:
<https://www.research.hsbc.com>

Financials & valuation: TSMC

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (TWDm)				
Revenue	3,809,054	5,279,598	7,182,298	9,030,731
EBITDA	2,624,188	3,948,943	5,295,285	6,787,862
Depreciation & amortisation	-688,096	-869,386	-1,165,611	-1,643,920
Operating profit/EBIT	1,936,092	3,079,558	4,129,674	5,143,942
Net interest	48,212	65,398	94,012	135,782
PBT	2,042,170	3,189,855	4,191,013	5,245,941
HSBC PBT	2,042,170	3,189,855	4,191,013	5,245,941
Taxation	-326,266	-563,465	-670,562	-839,351
Net profit	1,718,390	2,627,724	3,521,785	4,407,924
HSBC net profit	1,718,390	2,627,724	3,521,785	4,407,924
Cash flow summary (TWDm)				
Cash flow from operations	2,274,976	3,282,482	4,398,042	5,793,001
Capex	-1,272,411	-1,777,803	-2,486,240	-2,889,834
Cash flow from investment	-1,144,394	-1,777,803	-2,486,240	-2,889,834
Dividends	-466,779	-518,652	-518,652	-518,652
Change in net debt	-639,883	-986,027	-1,393,150	-2,384,515
FCF equity	1,002,565	1,504,679	1,911,802	2,903,167
Balance sheet summary (TWDm)				
Intangible fixed assets	12,031	11,454	11,075	10,826
Tangible fixed assets	3,691,841	4,600,836	5,921,843	7,168,005
Current assets	3,823,131	5,255,926	7,173,864	10,057,130
Cash & others	3,068,594	4,259,510	5,857,549	8,446,953
Total assets	7,933,024	10,274,236	13,512,804	17,641,982
Operating liabilities	1,479,075	1,506,325	1,536,871	1,571,888
Gross debt	993,154	1,198,043	1,402,932	1,607,821
Net debt	-2,075,440	-3,061,467	-4,454,617	-6,839,132
Shareholders' funds	5,419,596	7,528,668	10,531,802	14,421,074
Invested capital	2,979,334	4,102,379	5,712,363	7,217,120

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	31.6	38.6	36.0	25.7
EBITDA	32.2	50.5	34.1	28.2
Operating profit	46.4	59.1	34.1	24.6
PBT	45.3	56.2	31.4	25.2
HSBC EPS	46.5	52.9	34.0	25.2
Ratios (%)				
Revenue/IC (x)	1.4	1.5	1.5	1.4
ROIC	59.0	71.6	70.7	66.8
ROE	35.4	40.6	39.0	35.3
ROA	23.5	28.8	29.6	28.3
EBITDA margin	68.9	74.8	73.7	75.2
Operating profit margin	50.8	58.3	57.5	57.0
EBITDA/net interest (x)				
Net debt/equity	-38.0	-40.4	-42.1	-47.3
Net debt/EBITDA (x)	-0.8	-0.8	-0.8	-1.0
CF from operations/net debt				
Per share data (TWD)				
EPS Rep (diluted)	66.27	101.34	135.81	169.99
HSBC EPS (diluted)	66.27	101.34	135.81	169.99
DPS	18.00	20.00	20.00	35.00
Book value	210.59	291.92	407.74	557.72

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	15.9	11.2	8.1	6.2
EV/EBITDA	23.0	15.0	11.0	8.2
EV/IC	20.3	14.5	10.2	7.7
PE*	36.4	23.8	17.8	14.2
PB	11.5	8.3	5.9	4.3
FCF yield (%)	1.6	2.4	3.1	4.6
Dividend yield (%)	0.7	0.8	0.8	1.4

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a	Governance Indicators	12/2025a
GHG emission intensity*	141.8	No. of board members	10
Energy intensity*	304.8	Average board tenure (years)	13.0
CO ₂ reduction policy	Yes	Female board members (%)	20
Social Indicators		Board members independence (%)	70
12/2024a			
Employee costs as % of revenues	10.4		
Employee turnover (%)	3.5		
Diversity policy	Yes		

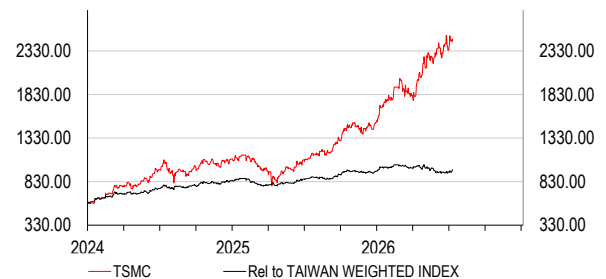
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (TWD)	2415.00	Free float	86%
Target price (TWD)	3350.00	Sector	Semiconductors
RIC (Equity)	2330.TW	Country/Region	Taiwan
Bloomberg (Equity)	2330 TT	Analyst	Frank Lee
Market cap (USDm)	1,954,092	Contact	+852 2996 6916

Price relative



Source: HSBC

Note: Priced at close of 09 Jul 2026

Exhibit 1: TSMC 2Q26 preview

(TWDbn)	2Q26e				3Q26e		
	Guidance	HSBCe	Consensus	HSBCe vs cons	HSBCe	Consensus	HSBCe vs cons
Sales	1,236-1,274	1,254	1,265	-0.9%	1,400	1,373	2.0%
- q-o-q		11%	12%		12%	9%	
- y-o-y		34%	36%		41%	39%	
Gross margin	65.5-67.5%	68.0%	67.0%	99bps	67.0%	65.9%	104bps
Operating margin	56.5-58.5%	59.0%	58.4%	61bps	58.8%	57.5%	127bps
EPS (TWD)		23.80	24.00	-0.8%	27.38	26.61	2.9%

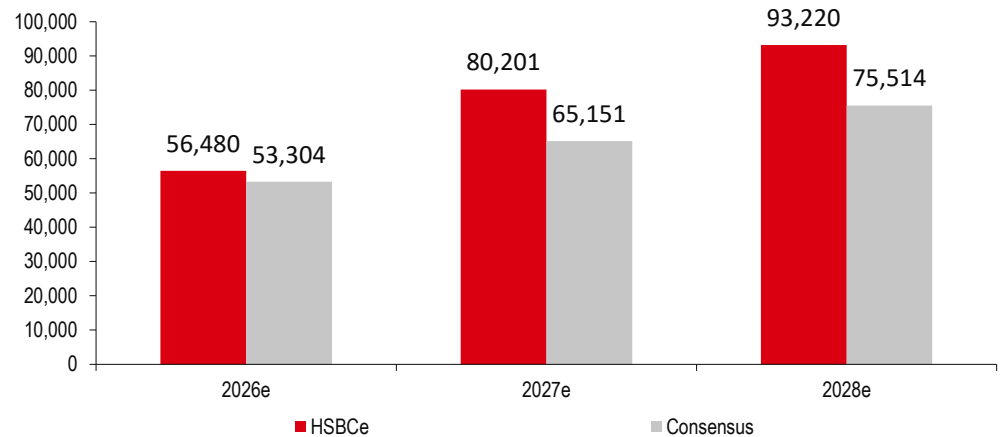
Source: Company data, HSBC estimates, Visible Alpha consensus

Focus on capex over GM trend, given increasing pressure from foundry tightness

We believe the most important narrative for TSMC is the increasing pressure to add advance node foundry capacity via both re-allocating mature node clean room space and additional facilities. If TSMC does not materially increase its overall foundry capacity, we see the risk of potential share gains by foundry competitors, such as Intel and Samsung, which could cap further re-rating potential for TSMC's share price. Hence, any near-term revenue upside or GM upside would be overlooked by the market if TSMC does not address ongoing foundry capacity tightness. However, a more aggressive capex strategy should lead to a higher long-term revenue FY24-FY29e CAGR on top of previous guidance of 25%, which we think remains a more important catalyst than any potential long-term GM dilution from higher capex.

Even though TSMC is unlikely to give explicit FY27 capex guidance until January 2027, we raise our FY27 capex estimate to USD80.2bn, which remains significantly higher than our previous estimate of USD70.6bn and current consensus estimates of USD65.2bn. However, we also believe that USD80.2bn may not be enough to address ongoing advance foundry node tightness. Hence, we conduct sensitivity analysis to show the 2029 revenue upside potential.

In our sensitivity analysis, we assume the incremental capex is spent to procure additional EUV capacity. With the general lead time being 18-24 months, incremental capacity would affect 2029 financials. On our estimates, each incremental unit of EUV equipment could help add 2.43k wafers per month, which could drive capacity additions of 41k-169k wafers per month. We assume 2029 revenue growth of 25% y-o-y in accordance with management's CAGR guidance of 25% during 2024-29. Assuming the incremental capacity is added entirely on 3nm, our sensitivity analysis suggests further upside of 4-15% to 2029e revenue, driving y-o-y growth in the range of 30-44% y-o-y. Assuming it is added entirely on 2nm, our sensitivity analysis suggests further upside of 5-19% to 2029e revenue, driving y-o-y growth in the range of 31-49% y-o-y. Therefore, our sensitivity analysis suggests that incremental capacity could help TSMC raise its long-term CAGR further.

Exhibit 2: TSMC capex (USDm) estimate comparisons


Source: HSBC estimates, Visible Alpha consensus estimates

Exhibit 3: TSMC – capacity added per EUV equipment

	2,026	2,027
EUV equipment added (#)	30	50
y-o-y		67%
Capacity added (k per month)		
2nm	40	60
3nm	40	50
Total	80	110
ratio (k wafer added per EUV)	2.67	2.20
Average (k wafer added per EUV)		2.43

Source: HSBC estimates

Exhibit 4: Sensitivity analysis based on incremental 3nm capacity

	Base	Case I	Case II	Case III	Case IV
2027 Capex (USDm)	80,201	85,000	90,000	95,000	100,000
Incremental CAPEX all spent on EUV (USDm)		4,799	9,799	14,799	19,799
EUV equipment cost (USDm)		285	285	285	285
Incremental EUV machines (#)		17	34	52	69
incremental 3nm capacity added (k wafers per month)		41	84	126	169
3nm ASP (USD)		27,213	27,213	27,213	27,213
incremental revenue added in 2029e (TWDbn)		415	847	1,279	1,711
2029e revenue based on management's guidance* (TWDbn)		11,288	11,288	11,288	11,288
Upside to 2029e revenue from increment EUV		4%	8%	11%	15%
Total implied 2029e revenue (TWDbn)		11,703	12,135	12,568	13,000
y-o-y		-100%	-100%	-100%	-100%

Source: HSBC estimates

Note: 2029e revenue assumes 25% y-o-y growth based on management guidance of revenue CAGR of 25% through 2024-2029e

Exhibit 5: Sensitivity analysis based on incremental 2nm capacity

	Base	Case I	Case II	Case III	Case IV
2027 Capex (USDm)	80,201	85,000	90,000	95,000	100,000
Incremental CAPEX all spent on EUV (USDm)		4,799	9,799	14,799	19,799
EUV equipment cost (USDm)		285	285	285	285
Incremental EUV machines (#)		17	34	52	69
incremental 3nm capacity added (k wafers per month)		41	84	126	169
2nm ASP (USD)		34,133	34,133	34,133	34,133
incremental revenue added in 2029e (TWDbn)		520	1,062	1,604	2,146
2029e revenue based on management's guidance* (TWDbn)		11,288	11,288	11,288	11,288
Upside to 2029e revenue from incremental EUV		5%	9%	14%	19%
Total implied 2029e revenue (TWDbn)		11,809	12,351	12,893	13,435
y-o-y		-100%	-100%	-100%	-100%

Source: HSBC estimates

Note: 2029e revenue assumes 25% y-o-y growth based on management guidance of revenue CAGR of 25% through 2024-2029e

Exhibit 6: HSBC estimate changes and comparison to consensus

(TWDm)	HSBC new			HSBC old			Change			Consensus			HSBCe vs Cons		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Sales	5,279,598	7,182,298	9,030,731	5,102,993	6,434,979	7,850,071	3%	12%	15%	5,172,869	6,678,729	8,250,126	2%	8%	9%
- y-o-y chg	38.6%	36.0%	25.7%	34.0%	26.1%	22.0%				35.8%	29.1%	23.5%			
Gross profit	3,520,792	4,804,810	6,074,107	3,352,138	4,231,179	5,254,088	5%	14%	16%	3,395,828	4,363,555	5,378,390	4%	10%	13%
- GM	66.7%	66.9%	67.3%	65.7%	65.8%	66.9%				65.6%	65.3%	65.2%			
Operating profit	3,079,558	4,129,674	5,143,942	2,937,885	3,632,999	4,452,239	5%	14%	16%	2,951,250	3,793,994	4,696,267	4%	9%	10%
- OPM	58.3%	57.5%	57.0%	57.6%	56.5%	56.7%				57.1%	56.8%	56.9%			
Net income	2,627,724	3,521,785	4,407,924	2,510,171	3,102,849	3,820,243	5%	14%	15%	2,458,388	3,270,686	4,073,122	7%	8%	8%
EPS (TWD)	101.34	135.81	169.99	96.80	119.66	147.32	5%	14%	15%	99.69	128.38	158.94	2%	6%	7%
- y-o-y chg	53%	34%	25%	46%	24%	23%				51%	29%	24%			

Source: HSBC Estimates, Visible Alpha consensus estimates

Exhibit 7: TSMC quarterly and annual P&L

(TWDm)	2025	1Q26e	2Q26e	3Q26e	4Q26e	2026e	1Q27e	2Q27e	3Q27e	4Q27e	2027e	2028e
Sales	3,809,054	1,134,103	1,254,047	1,399,810	1,491,638	5,279,598	1,580,030	1,683,911	1,901,412	2,016,946	7,182,298	9,030,731
- q-o-q		8%	11%	12%	7%		6%	7%	13%	6%		
- y-o-y	32%	35%	34%	41%	43%	39%	39%	34%	36%	35%	36%	26%
Gross profit	2,281,294	751,295	852,969	937,438	979,092	3,520,792	1,044,118	1,114,698	1,281,904	1,364,089	4,804,810	6,074,107
Gross margin	59.9%	66.2%	68.0%	67.0%	65.6%	66.7%	66.1%	66.2%	67.4%	67.6%	66.9%	67.3%
- q-o-q		15%	14%	10%	4%		7%	7%	15%	6%		
- y-o-y	40%	52%	56%	59%	50%	54%	39%	31%	37%	39%	36%	26%
Operating profit	1,936,092	658,966	740,424	823,010	857,158	3,079,558	895,595	956,410	1,103,172	1,174,497	4,129,674	5,143,942
OP margin	50.8%	58.1%	59.0%	58.8%	57.5%	58.3%	56.7%	56.8%	58.0%	58.2%	57.5%	57.0%
- q-o-q		17%	12%	11%	4%		4%	7%	15%	6%		
- y-o-y	46%	62%	60%	64%	52%	59%	36%	29%	34%	37%	34%	25%
Non-op income	106,079	28,834	30,122	31,700	19,642	110,298	12,180	14,109	16,263	18,788	61,340	101,999
Pre-tax income	2,042,170	687,800	770,546	854,710	876,800	3,189,855	907,775	970,519	1,119,434	1,193,285	4,191,013	5,245,941
Tax expense	-326,266	-114,999	-154,109	-145,301	-149,056	-563,465	-145,244	-155,283	-179,109	-190,926	-670,562	-839,351
Net income	1,718,390	572,480	617,217	709,956	728,072	2,627,724	762,210	816,016	940,872	1,002,687	3,521,785	4,407,924
- q-o-q		13%	8%	15%	3%		5%	7%	15%	7%		
- y-o-y	46%	58%	55%	57%	44%	53%	33%	32%	33%	38%	34%	25%
Net margin	45%	50%	49%	51%	49%	50%	48%	48%	49%	50%	49%	49%
EPS (TWD)	66.27	22.08	23.80	27.38	28.08	101.34	29.39	31.47	36.28	38.67	135.81	169.99
- q-o-q		13%	8%	15%	3%		5%	7%	15%	7%		
- y-o-y	46%	58%	55%	57%	44%	53%	33%	32%	33%	38%	34%	25%

Source: Company data, HSBC estimates

Exhibit 8: TSMC forward P/E



Source: Datastream

Valuation and risks

	Valuation	Risks to our view
TSMC 2330 TT Buy	Current price: TWD2,415.00 Target price: TWD3,350.00 Upside: +38.7% Our revised target price of TWD3,350 is derived by applying target PE multiple of 25x (from 27x) to our rolled over FY27e EPS of TWD135.81 (from 2H26-1H27e EPS of TWD104.96). We believe the lower PE is reasonable, as we expect more competition from Intel in near to mid-term given the current supply tightness, regardless of Intel's yield performance (vs TSMC enjoying peak PE when it was dominant in advanced nodes and advanced packaging). Our target price for the ADR (TSM US, USD436.96 as of the 9 July close) is USD622.89 (from USD520.62), which is based on a 5:1 share conversion, HSBC TWD/USD forecast of 32.0, and one-year average share price premium of 19%. We believe the trading premium on the ADR is justified given TSMC's active capacity expansion plan (additional USD100bn) in Arizona, US.	Downside risks: 1) weaker-than-expected 5nm orders; 2) intensified US-China trade tensions and tighter restrictions on shipments to companies with businesses related to mainland China region; 3) slower ramp-up of advanced node production and yield rates; and 4) higher depreciation costs from investing in advanced nodes.

Priced at 9 July 2026
Source: HSBC estimates

Exhibit 9: Companies mentioned in this report

Company	Ticker	Currency	CMP	TP	Rating
Intel	INTC US	USD	112.54	200.00	Buy
Samsung Electronics	005930 KS	KRW	278,000.00	450,000.00	Buy

Source: Bloomberg, HSBC estimates
Note: Priced as of close of 9 July 2026

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Frank Lee and Ted Lin

Important disclosures

Equities: Stock ratings and basis for financial analysis

HSBC and its affiliates, including the issuer of this report ("HSBC") believes an investor's decision to buy or sell a stock should depend on individual circumstances such as the investor's existing holdings, risk tolerance and other considerations and that investors utilise various disciplines and investment horizons when making investment decisions. Ratings should not be used or relied on in isolation as investment advice. Different securities firms use a variety of ratings terms as well as different rating systems to describe their recommendations and therefore investors should carefully read the definitions of the ratings used in each research report. Further, investors should carefully read the entire research report and not infer its contents from the rating because research reports contain more complete information concerning the analysts' views and the basis for the rating.

From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

As of 31 March 2026, the distribution of all independent ratings published by HSBC is as follows:

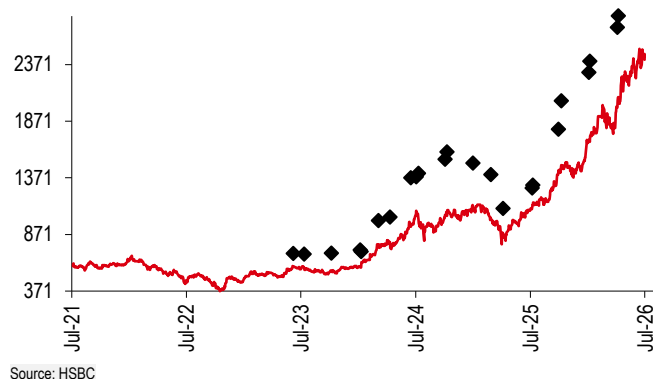
Buy	59%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(6% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at <http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures>.

Share price and rating changes for long-term investment opportunities

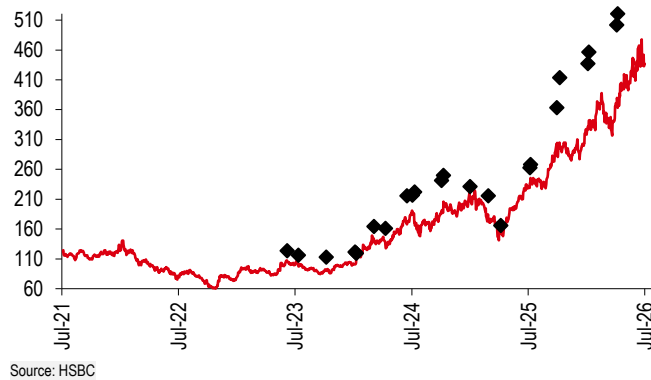
**TSMC (2330.TW) share price performance TWD Vs
HSBC rating history**



Rating & target price history

From	To	Date	Analyst
Hold	Buy	15 Jan 2018	Steven Pelayo, CFA
Target price	Value	Date	Analyst
Price 1	703	15 Jun 2023	Frank Lee
Price 2	697	20 Jul 2023	Frank Lee
Price 3	705	15 Oct 2023	Frank Lee
Price 4	733	14 Jan 2024	Frank Lee
Price 5	720	18 Jan 2024	Frank Lee
Price 6	993	13 Mar 2024	Frank Lee
Price 7	1025	18 Apr 2024	Frank Lee
Price 8	1370	24 Jun 2024	Frank Lee
Price 9	1378	11 Jul 2024	Frank Lee
Price 10	1410	18 Jul 2024	Frank Lee
Price 11	1535	11 Oct 2024	Frank Lee
Price 12	1600	17 Oct 2024	Frank Lee
Price 13	1500	08 Jan 2025	Frank Lee
Price 14	1400	06 Mar 2025	Frank Lee
Price 15	1100	14 Apr 2025	Frank Lee
Price 16	1280	15 Jul 2025	Frank Lee
Price 17	1305	17 Jul 2025	Frank Lee
Price 18	1800	07 Oct 2025	Frank Lee
Price 19	2050	16 Oct 2025	Frank Lee
Price 20	2300	12 Jan 2026	Frank Lee
Price 21	2400	15 Jan 2026	Frank Lee
Price 22	2700	13 Apr 2026	Frank Lee
Price 23	2800	16 Apr 2026	Frank Lee

Source: HSBC

TSMC (TSM.N) share price performance USD Vs HSBC rating history


Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Buy	15 Jan 2018	Steven Pelayo, CFA
Target price	Value	Date	Analyst
Price 1	123.33	15 Jun 2023	Frank Lee
Price 2	116.17	20 Jul 2023	Frank Lee
Price 3	112.98	15 Oct 2023	Frank Lee
Price 4	121.36	14 Jan 2024	Frank Lee
Price 5	119.21	18 Jan 2024	Frank Lee
Price 6	164.40	13 Mar 2024	Frank Lee
Price 7	161.16	18 Apr 2024	Frank Lee
Price 8	215.41	24 Jun 2024	Frank Lee
Price 9	216.67	11 Jul 2024	Frank Lee
Price 10	221.70	18 Jul 2024	Frank Lee
Price 11	241.35	11 Oct 2024	Frank Lee
Price 12	250.00	17 Oct 2024	Frank Lee
Price 13	230.77	08 Jan 2025	Frank Lee
Price 14	215.38	06 Mar 2025	Frank Lee
Price 15	165.66	14 Apr 2025	Frank Lee
Price 16	262.62	15 Jul 2025	Frank Lee
Price 17	267.75	17 Jul 2025	Frank Lee
Price 18	363.05	07 Oct 2025	Frank Lee
Price 19	413.47	16 Oct 2025	Frank Lee
Price 20	437.22	12 Jan 2026	Frank Lee
Price 21	456.23	15 Jan 2026	Frank Lee
Price 22	502.03	13 Apr 2026	Frank Lee
Price 23	520.63	16 Apr 2026	Frank Lee

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

Clients of HSBC Private Bank: www.research.privatebank.hsbc.com/Disclosures

All other clients: www.research.hsbc.com/A/Disclosures

HSBC & Analyst disclosures
Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
TSMC	2330.TW	2415.00	09 Jul 2026	–

Source: HSBC

- HSBC has managed or co-managed a public offering of securities for this company within the past 12 months.
- HSBC expects to receive or intends to seek compensation for investment banking services from this company in the next 3 months.
- At the time of publication of this report, HSBC Securities (USA) Inc. is a Market Maker in securities issued by this company.
- As of 30 June 2026, HSBC beneficially owned 1% or more of a class of common equity securities of this company.
- This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of investment banking services.
- This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-investment banking securities-related services.
- This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-securities services.
- A covering analyst/s has received compensation from this company in the past 12 months.
- A covering analyst/s or a member of his/her household has a financial interest in the securities of this company, as detailed below.

- 10 A covering analyst/s or a member of his/her household is an officer, director or supervisory board member of this company, as detailed below.
- 11 At the time of publication of this report, HSBC is a non-US Market Maker in securities issued by this company and/or in securities in respect of this company.
- 12 As of 03 July 2026, HSBC beneficially held a net long position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.
- 13 As of 03 July 2026, HSBC beneficially held a net short position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.
- 14 HSBC Qianhai Securities Limited holds 1% or more of a class of common equity securities of this company.

HSBC and its affiliates will from time to time sell to and buy from customers the securities/instruments, both equity and debt (including derivatives) of companies covered in HSBC Research on a principal or agency basis or act as a market maker or liquidity provider in the securities/instruments mentioned in this report.

Analysts, economists, and strategists are paid in part by reference to the profitability of HSBC which includes investment banking, sales & trading, and principal trading revenues.

Whether, or in what time frame, an update of this analysis will be published is not determined in advance.

Non-U.S. analysts may not be associated persons of HSBC Securities (USA) Inc, and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with the subject company, public appearances and trading securities held by the analysts.

Economic sanctions laws imposed by certain jurisdictions such as the US, the EU, the UK, and others, may prohibit persons subject to those laws from making certain types of investments, including by transacting or dealing in securities of particular issuers, sectors, or regions. This report does not constitute advice in relation to any such laws and should not be construed as an inducement to transact in securities in breach of such laws.

For disclosures in respect of any company mentioned in this report, please see the most recently published report on that company available at www.hsbcnet.com/research. HSBC Private Bank clients should contact their Relationship Manager for queries regarding other research reports. In order to find out more about the proprietary models used to produce this report, please contact the authoring analyst.

Additional disclosures

- 1 This report is dated as at 13 July 2026.
- 2 All market data included in this report are dated as at close 09 July 2026, unless a different date and/or a specific time of day is indicated in the report.
- 3 HSBC has procedures in place to identify and manage any potential conflicts of interest that arise in connection with its Research business. HSBC's analysts and its other staff who are involved in the preparation and dissemination of Research operate and have a management reporting line independent of HSBC's Investment Banking business. Information Barrier procedures are in place between the Investment Banking, Principal Trading, and Research businesses to ensure that any confidential and/or price sensitive information is handled in an appropriate manner.
- 4 You are not permitted to use, for reference, any data in this document for the purpose of (i) determining the interest payable, or other sums due, under loan agreements or under other financial contracts or instruments, (ii) determining the price at which a financial instrument may be bought or sold or traded or redeemed, or the value of a financial instrument, and/or (iii) measuring the performance of a financial instrument or of an investment fund.
- 5 As of 03 July 2026 HSBC owned a significant interest in the debt securities of the following company(ies): TSMC

Production & distribution disclosures

1. This report was produced and signed off by the author on 10 Jul 2026 06:30 GMT.
2. In order to see when this report was first disseminated please see the disclosure page available at <https://www.research.hsbc.com/R/34/dCf9Bm6>

Disclaimer

Legal entities as at 13 May 2026:

HSBC Bank plc; HSBC Continental Europe; HSBC Continental Europe SA, Germany; HSBC Bank Middle East Limited, DIFC; HSBC Bank Middle East Limited, Dubai branch; HSBC Yatirim Menkul Degerler AS, Istanbul; The Hongkong and Shanghai Banking Corporation Limited, Hong Kong; The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch; The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch; The Hongkong and Shanghai Banking Corporation Limited, Seoul Branch; HSBC Qianhai Securities Limited; HSBC Securities (Taiwan) Corporation Limited; HSBC Securities and Capital Markets (India) Private Limited, Mumbai; HSBC Bank Australia Limited; HSBC Securities (USA) Inc., New York; HSBC México, SA, Institución de Banca Múltiple, Grupo Financiero HSBC; Banco HSBC SA

Issuer of report

The Hongkong and Shanghai Banking Corporation Limited
Level 16, 1 Queen's Road Central
Hong Kong SAR
Telephone: +852 2843 9111
Fax: +852 2596 0200
Website: www.research.hsbc.com

This document has been issued by The Hongkong and Shanghai Banking Corporation Limited ("HSBC") in the conduct of its Hong Kong regulated business for the information of its institutional and professional investor (as defined by Securities and Future Ordinance (Chapter 571)) customers; it is not intended for and should not be distributed to retail customers in Hong Kong, unless permitted otherwise. The Hongkong and Shanghai Banking Corporation Limited is regulated by the Hong Kong Monetary Authority. All enquiries by recipients in Hong Kong must be directed to your HSBC contact in Hong Kong. If it is received by a customer of an affiliate of HSBC, its provision to the recipient is subject to the terms of business in place between the recipient and such affiliate. This document is not and should not be construed as an offer to sell or the solicitation of an offer to purchase or subscribe for any investment. HSBC has based this document on information obtained from sources it believes to be reliable but which it has not independently verified; HSBC makes no guarantee, representation or warranty and accepts no responsibility or liability as to its accuracy or completeness. Expressions of opinion are those of the Research Division of HSBC only and are subject to change without notice. From time to time research analysts conduct site visits of covered issuers. HSBC policies prohibit research analysts from accepting payment or reimbursement for travel expenses from the issuer for such visits. HSBC and its affiliates and/or their officers, directors and employees may have positions in any securities mentioned in this document (or in any related investment) and may from time to time add to or dispose of any such securities (or investment). HSBC and its affiliates may act as market maker or have assumed an underwriting commitment in the securities of companies discussed in this document (or in related investments), may sell them to or buy them from customers on a principal basis and may also perform or seek to perform investment banking or underwriting services for or relating to those companies. The document is intended to be distributed in its entirety. Unless governing law permits otherwise, you must contact a HSBC Group member in your home jurisdiction if you wish to use HSBC Group services in effecting a transaction in any investment mentioned in this document.

In the UK, this publication is distributed by HSBC Bank plc for the information of its Clients (as defined in the Rules of FCA) and those of its affiliates only. Nothing herein excludes or restricts any duty or liability to a customer which HSBC Bank plc has under the Financial Services and Markets Act 2000 or under the Rules of FCA and PRA. A recipient who chooses to deal with any person who is not a representative of HSBC Bank plc in the UK will not enjoy the protections afforded by the UK regulatory regime. HSBC Bank plc is regulated by the Financial Conduct Authority and the Prudential Regulation Authority.

In the European Economic Area, this publication has been distributed by HSBC Continental Europe or by such other HSBC affiliate from which the recipient receives relevant services.

In Japan, this publication has been distributed by HSBC Securities (Japan) Co., Ltd.. It may not be further distributed in whole or in part for any purpose. In Korea, this publication is distributed by either The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch ("HBAP SLS") or The Hongkong and Shanghai Banking Corporation Limited, Seoul Branch ("HBAP SEL") for the general information of professional investors specified in Article 9 of the Financial Investment Services and Capital Markets Act ("FSCMA"). This publication is not a prospectus as defined in the FSCMA. It may not be further distributed in whole or in part for any purpose. Both HBAP SLS and HBAP SEL are regulated by the Financial Services Commission and the Financial Supervisory Service of Korea. In Singapore, this publication is distributed by The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch for the general information of institutional investors or other persons specified in Sections 274 and 304 of the Securities and Futures Act 2001 of Singapore ("SFA") and accredited investors and other persons in accordance with the conditions specified in Sections 275 and 305 of the SFA. Only Economics or Currencies reports are intended for distribution to a person who is not an Accredited Investor, Expert Investor or Institutional Investor as defined in SFA. The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch accepts legal responsibility for the contents of reports. This publication is not a prospectus as defined in the SFA. It may not be further distributed in whole or in part for any purpose. The Hongkong and Shanghai Banking Corporation Limited Singapore Branch is regulated by the Monetary Authority of Singapore. Recipients in Singapore should contact a "Hongkong and Shanghai Banking Corporation Limited, Singapore Branch" representative in respect of any matters arising from, or in connection with this report. Please refer to The Hongkong and Shanghai Banking Corporation Limited Singapore Branch's website at www.business.hsbc.com.sg for contact details. In Australia, this publication has been distributed by The Hongkong and Shanghai Banking Corporation Limited (ABN 65 117 925 970, AFSL 301737) for the general information of its "wholesale" customers (as defined in the Corporations Act 2001). Where distributed to retail customers, this research is distributed by HSBC Bank Australia Limited (ABN 48 006 434 162, AFSL No. 232595). These respective entities make no representations that the products or services mentioned in this document are available to persons in Australia or are necessarily suitable for any particular person or appropriate in accordance with local law. No consideration has been given to the particular investment objectives, financial situation or particular needs of any recipient.

HSBC Securities (USA) Inc. accepts responsibility for the content of this research report prepared by its non-US foreign affiliate. The information contained herein is under no circumstances to be construed as investment advice and is not tailored to the needs of the recipient. All US persons receiving and/or accessing this report and wishing to effect transactions in any security discussed herein should do so with HSBC Securities (USA) Inc. in the United States and not with its non-US foreign affiliate, the issuer of this report. HSBC México, S.A., Institución de Banca Múltiple, Grupo Financiero HSBC is authorized and regulated by Secretaría de Hacienda y Crédito Público and Comisión Nacional Bancaria y de Valores (CNBV). In Brazil, this document has been distributed by Banco HSBC SA ("HSBC Brazil"), and/or its affiliates. As required by Resolution No. 20/2021 of the Securities and Exchange Commission of Brazil (Comissão de Valores Mobiliários), potential conflicts of interest concerning (i) HSBC Brazil and/or its affiliates; and (ii) the analyst(s) responsible for authoring this report are stated on the chart above labelled "HSBC & Analyst Disclosures".

If you are a customer of HSBC International Wealth & Premier Banking ("IWPB"), including HSBC Private Bank, you are eligible to receive this publication only if: (i) you have been approved to receive relevant research publications by an applicable HSBC legal entity; (ii) you have agreed to the applicable HSBC entity's terms and conditions and/or customer declaration for accessing research; and (iii) you have agreed to the terms and conditions of any other internet banking, online banking, mobile banking and/or investment services offered by that HSBC entity, through which you will access research publications (collectively with (ii), the "Terms"). If you do not meet the above eligibility requirements, please disregard this publication and, if you are a IWPB customer, please notify your Relationship Manager or call the relevant customer hotline. Distribution of this publication is the sole responsibility of the HSBC entity with whom you have agreed the Terms. Receipt of research publications is strictly subject to the Terms and any other conditions or disclaimers applicable to the provision of the publications that may be advised by IWPB.

© Copyright 2026, The Hongkong and Shanghai Banking Corporation Limited, ALL RIGHTS RESERVED. No part of this publication may be reproduced, stored in a retrieval system, or transmitted, on any form or by any means, electronic, mechanical, photocopying, recording, or otherwise, without the prior written permission of The Hongkong and Shanghai Banking Corporation Limited.

[1282492]